

Fourth Quarter and Full Year 2021 Financial Results

February 15, 2022



zoetis

Forward-looking Statements

This presentation contains forward-looking statements, which reflect the current views of Zoetis with respect to: business plans or prospects; future operating or financial performance, future guidance, future operating models; supply chain; R&D costs, timing and likelihood of success; expectations regarding products, product approvals or products under development; expected timing of product launches; the impact of the coronavirus (COVID-19) global pandemic and any recovery therefrom on our business, supply chain, customers and employees; expectations regarding the performance of acquired companies and our ability to integrate new businesses; expectations regarding the financial impact of acquisitions; future use of cash, dividend payments and share repurchases; tax rates and tax regimes and any changes thereto; and other future events. These statements are not guarantees of future performance or actions. Forward-looking statements are subject to risks and uncertainties. If one or more of these risks or uncertainties materialize, or if management's underlying assumptions prove to be incorrect, actual results may differ materially from those contemplated by a forward-looking statement. Forward-looking statements speak only as of the date on which they are made. Zoetis expressly disclaims any obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise. A further list and description of risks, uncertainties and other matters can be found in our most recent Annual Report on Form 10-K, including in the sections thereof captioned "Forward-Looking Statements and Factors That May Affect Future Results" and "Item 1A. Risk Factors," in our Quarterly Reports on Form 10-Q and in our Current Reports on Form 8-K. Such risks and uncertainties may be amplified by the COVID-19 pandemic and its potential impact on the global economy and our business. These filings and subsequent filings are available online at www.sec.gov, www.zoetis.com, or on request from Zoetis.

Non-GAAP Financial Information

We use non-GAAP financial measures, such as adjusted net income, adjusted diluted earnings per share, adjusted operating expenses, adjusted gross margin, operational results (which excludes the impact of foreign exchange), adjusted EBIT margin, organic operational growth and normalized organic operational growth to assess and analyze our results and trends and to make financial and operational decisions. We believe these non-GAAP financial measures are also useful to investors because they provide greater transparency regarding our operating performance. The non-GAAP financial measures included in this presentation should not be considered alternatives to measurements required by GAAP, such as net income, operating income, and earnings per share, and should not be considered measures of liquidity. These non-GAAP financial measures are unlikely to be comparable with non-GAAP information provided by other companies. Reconciliations of non-GAAP financial measures and most directly comparable GAAP financial measures are included in the tables accompanying our earnings release and are posted on our website at www.zoetis.com.*

**GAAP refers to U.S. generally accepted accounting principles.*

Kristin Peck

Chief Executive Officer

Key Takeaways

Strong Global Growth Continued in 2021

- Generated 15% operational¹ revenue growth and 19% operational¹ increase in adjusted net income², with revenue in the U.S increasing 14% and International up 17% operationally¹.
- Full year revenue of \$7.8 billion and full year adjusted net income of \$2.2 billion.
- Revenue increase for 2021 was primarily driven by companion animal, with operational¹ growth of 27%, while livestock grew 1% operationally¹ in the year.

Robust Growth in Companion Animal

- Companion animal parasiticides had a strong year, led by Simparica Trio[®] sales of \$475 million. The Simparica[®] franchise grew 82% operationally¹ with total sales of approximately \$750 million.
- The continued investments in key dermatology led to 24% operational¹ growth and sales of \$1.2 billion.
- Librela[®] became the number one pain product in the EU in year one and is well-positioned for meaningful growth.

Guidance for 2022

- Outlook for 2022 projects operational¹ growth in revenue of 9% to 11% and operational¹ growth of 10% to 13% in adjusted net income².
- Our guidance reflects continued confidence in the ability to deliver sustainable future growth.

¹ Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

² Adjusted net income (a non-GAAP financial measure) is defined as reported GAAP net income, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

Wetteny Joseph

Executive Vice President
and Chief Financial Officer

Income Statement Highlights

	Fourth Quarter		
	2021*	2020*	Change
Revenue	\$1,967	\$1,807	9%
Reported Net Income	414	359	15%
Reported Diluted Earnings Per Share	\$0.87	\$0.75	16%
Adjusted Net Income ¹	474	438	8%
Adjusted Diluted Earnings Per Share ^{1,2}	\$1.00	\$0.91	10%

* Millions of dollars, except per share data

¹ Adjusted net income and adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

² Adjusted diluted earnings per share increase of 10% includes a 4% favorable foreign exchange impact, and operational growth of 6%.

Income Statement Highlights

	Full Year		
	2021*	2020*	Change
Revenue	\$7,776	\$6,675	16%
Reported Net Income	2,037	1,638	24%
Reported Diluted Earnings Per Share	\$4.27	\$3.42	25%
Adjusted Net Income ¹	2,240	1,844	21%
Adjusted Diluted Earnings Per Share ^{1,2}	\$4.70	\$3.85	22%

* Millions of dollars, except per share data

¹ Adjusted net income and adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

² Adjusted diluted earnings per share increase of 22% includes a 3% favorable foreign exchange impact, and operational growth of 19%.

Adjusted Income Statement Highlights

	Fourth Quarter				
	2021*	2020*	Change	Foreign Exchange	Operational ¹
Revenue	\$1,967	\$1,807	9%	—%	9%
Adjusted Cost of Sales ²	598	584	2%	(3)%	5%
<i>as a percent of revenue³</i>	30.4%	32.3%	NA	NA	NA
Adjusted SG&A Expenses ²	586	511	15%	—%	15%
Adjusted R&D Expenses ²	138	133	4%	1%	3%
Adjusted Operating Expenses ⁴	730	650	12%	—%	12%
Effective Tax Rate on Adjusted Income ²	18.6%	13.5%	NA	NA	NA
Adjusted Net Income ²	\$474	\$438	8%	3%	5%

* Millions of dollars, NA – Not applicable

¹ Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

² Adjusted net income and its components (non-GAAP financial measures) are defined as reported GAAP net income and its components, excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, adjusted research and development (R&D) expenses, and adjusted tax expenses are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure.

³ Adjusted gross margin (a non-GAAP financial measure) was 69.6% in the fourth quarter of 2021 and 67.7% in the fourth quarter of 2020.

8 ⁴ Adjusted operating expenses (a non-GAAP financial measure) of \$730 million in the fourth quarter of 2021 and \$650 million in the fourth quarter of 2020 include adjusted amortization of intangible assets of \$6 million.

Adjusted Income Statement Highlights

	Full Year				
	2021*	2020*	Change	Foreign Exchange	Operational ¹
Revenue	\$7,776	\$6,675	16%	1%	15%
Adjusted Cost of Sales ²	2,289	2,030	13%	1%	12%
<i>as a percent of revenue³</i>	<i>29.4%</i>	<i>30.4%</i>	<i>NA</i>	<i>NA</i>	<i>N/A</i>
Adjusted SG&A Expenses ²	1,971	1,659	19%	1%	18%
Adjusted R&D Expenses ²	507	462	10%	2%	8%
Adjusted Operating Expenses ⁴	2,501	2,146	17%	2%	15%
Effective Tax Rate on Adjusted Income ²	18.6%	18.3%	NA	NA	NA
Adjusted Net Income ²	\$2,240	\$1,844	21%	2%	19%

* Millions of dollars, NA – Not applicable

¹ Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

² Adjusted net income and its components (non-GAAP financial measures) are defined as reported GAAP net income and its components, excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, adjusted research and development (R&D) expenses, and adjusted tax expenses are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure.

³ Adjusted gross margin (a non-GAAP financial measure) was 70.6% in 2021 and 69.6% in 2020.

⁴ Adjusted operating expenses (a non-GAAP financial measure) of \$2,501 million in 2021 and \$2,146 million in 2020 include adjusted amortization of intangible assets of \$23 million in 2021 and \$25 million in 2020.

U.S. Segment Performance

	Fourth Quarter		
	2021*	2020*	Change
Revenue	\$1,040	\$952	9%
Companion Animal	763	634	20%
Livestock	277	318	(13)%
Cost of Sales	213	194	10%
Gross Profit	827	758	9%
<i>Gross Margin</i>	79.5%	79.6%	NA
Operating Expenses	197	184	7%
Other (Income)/Deductions-net	2	3	(33)%
Earnings ¹	628	571	10%

* Millions of dollars, NA – Not applicable

¹ Defined as income before provision for taxes on income.

U.S. Segment Performance

	Full Year		
	2021*	2020*	Change
Revenue	\$4,042	\$3,557	14%
Companion Animal	2,990	2,391	25%
Livestock	1,052	1,166	(10)%
Cost of Sales	788	709	11%
Gross Profit	3,254	2,848	14%
<i>Gross Margin</i>	80.5%	80.1%	NA
Operating Expenses	681	602	13%
Other (Income)/Deductions-net	4	7	(43)%
Earnings ¹	2,569	2,239	15%

* Millions of dollars, NA – Not applicable

¹ Defined as income before provision for taxes on income.

International Segment Performance

	Fourth Quarter				
	2021*	2020*	Change	Foreign Exchange	Operational ¹
Revenue	\$902	\$832	8%	—%	8%
Companion Animal	419	344	22%	(1)%	23%
Livestock	483	488	(1)%	1%	(2)%
Cost of Sales	273	274	—%	(2)%	2%
Gross Profit	629	558	13%	2%	11%
<i>Gross Margin</i>	69.7%	67.1%	NA	NA	NA
Operating Expenses	173	146	18%	(1)%	19%
Other (Income)/Deductions-net	—	6	**	**	**
Earnings ²	456	406	12%	2%	10%

* Millions of dollars, NA – Not applicable, **Calculation not meaningful

¹ Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

² Defined as income before provision for taxes on income.

International Segment Performance

	Full Year				
	2021*	2020*	Change	Foreign Exchange	Operational ¹
Revenue	\$3,652	\$3,035	20%	3%	17%
Companion Animal	1,699	1,261	35%	5%	30%
Livestock	1,953	1,774	10%	2%	8%
Cost of Sales	1,106	971	14%	1%	13%
Gross Profit	2,546	2,064	23%	4%	19%
<i>Gross Margin</i>	69.7%	68.0%	NA	NA	NA
Operating Expenses	602	510	18%	3%	15%
Other (Income)/Deductions-net	(4)	7	**	**	**
Earnings ²	1,948	1,547	26%	5%	21%

* Millions of dollars, NA – Not applicable, **Calculation not meaningful

¹ Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

² Defined as income before provision for taxes on income.

International Segment Performance

	Fourth Quarter				
	2021*	2020*	Change	Foreign Exchange	Operational ¹
Total International	\$902.3	\$832.8	8%	—%	8%
Australia	62.8	53.4	18%	2%	16%
Brazil	84.1	77.0	9%	—%	9%
Canada	63.0	66.1	(5)%	4%	(9)%
Chile	36.1	28.3	28%	(1)%	29%
China	68.4	68.0	1%	5%	(4)%
France	34.7	35.3	(2)%	(2)%	—%
Germany	48.0	46.5	3%	(2)%	5%
Italy	27.9	27.8	—%	(2)%	2%
Japan	46.3	43.9	5%	(7)%	12%
Mexico	34.8	32.2	8%	4%	4%
Spain	31.1	29.5	5%	(2)%	7%
United Kingdom	61.2	52.5	17%	5%	12%
Other Developed Markets	117.1	105.9	11%	1%	10%
Other Emerging Markets	186.8	166.4	12%	(4)%	16%

* Millions of dollars

¹ Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

International Segment Performance

	Full Year				
	2021*	2020*	Change	Foreign Exchange	Operational ¹
Total International	\$3,651.9	\$3,035.4	20%	3%	17%
Australia	258.8	207.2	25%	11%	14%
Brazil	311.5	258.3	21%	(7)%	28%
Canada	231.5	209.8	10%	7%	3%
Chile	136.3	100.1	36%	2%	34%
China	357.3	265.7	34%	9%	25%
France	132.4	117.7	12%	5%	7%
Germany	183.0	158.6	15%	5%	10%
Italy	115.2	90.5	27%	6%	21%
Japan	186.2	177.2	5%	(2)%	7%
Mexico	132.6	115.8	15%	6%	9%
Spain	127.7	112.2	14%	6%	8%
United Kingdom	234.4	177.9	32%	9%	23%
Other Developed Markets	467.0	388.2	20%	6%	14%
Other Emerging Markets	778.0	656.2	19%	(3)%	22%

* Millions of dollars

¹ Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

Financial Guidance

Selected Line Items (millions of dollars, except per share amounts)	Foreign Exchange Impact	Full Year 2022
Revenue		\$8,325 to \$8,475
<i>Operational growth¹</i>	~ \$(160)	9% to 11%
Adjusted cost of sales as a percentage of revenue ²		Approximately 29%
Adjusted SG&A expenses ²	~ \$(30)	\$2,070 to \$2,120
Adjusted R&D expenses ²	~ \$(5)	\$540 to \$560
Adjusted interest expense and other (income)/deductions-net ²		Approximately \$240
Effective tax rate on adjusted income ²		Approximately 20%
Adjusted diluted EPS ²	~ \$(0.12)	\$5.09 to \$5.19
Adjusted net income ²		\$2,415 to \$2,470
<i>Operational growth^{1,3}</i>	~ \$(60)	10% to 13%
Certain significant items and acquisition-related costs ⁴		\$20 - \$30
Reported diluted EPS		\$4.75 to \$4.87

The guidance reflects foreign exchange rates as of late January 2022 and includes the assumed impacts as a result of fluctuations in foreign exchange rates relative to the U.S. dollar compared to weighted average foreign exchange rates from 2021, as noted above.

¹ Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

² Adjusted net income and its components and adjusted diluted EPS are defined as reported GAAP net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, adjusted research and development (R&D) expenses, and adjusted interest expense and other (income)/deductions-net are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure. Effective tax rate on adjusted income (a non-GAAP financial measure) equals the adjusted provision for taxes on income (a non-GAAP financial measure) divided by adjusted income before provision for taxes on income (a non-GAAP financial measure). Adjusted net income and its components, adjusted diluted EPS, and the effective tax rate on adjusted net income, are presented solely to permit investors to more fully understand how management assesses performance. Adjusted net income and its components and adjusted diluted EPS are not, and should not be viewed as, substitutes for U.S. GAAP net income and its components and diluted EPS.

³ We do not provide a reconciliation of forward-looking non-GAAP adjusted net income operational growth to the most directly comparable GAAP reported financial measure because we are unable to calculate with reasonable certainty the foreign exchange impact of unusual gains and losses, acquisition-related expenses, potential future asset impairments and other certain significant items, without unreasonable effort. The foreign exchange impacts of these items are uncertain, depend on various factors, and could have a material impact on GAAP reported results for the guidance period.

⁴ Primarily includes certain nonrecurring costs related to acquisitions and other charges.

Q&A

A man and a dog are sitting in a field of tall grass at sunset. The man is wearing a maroon shirt and is hugging the dog from behind. The dog is a light-colored breed, possibly a Weimaraner, and is looking towards the left. The background is a soft-focus landscape with trees and a small white building with a blue roof. The sky is a warm orange color, and the overall scene is bathed in the golden light of the setting sun.

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Appendix



Reconciliation Of Reported Growth To Non-GAAP Financial Measures

	Fourth quarter ended December 31,				
	2021*	2020*	Change	Foreign Exchange	Operational ¹
<u>Revenue by Product Category</u>					
Parasiticides (small animal)	\$308	\$233	32%	—%	32%
Key Dermatology	316	257	23%	—%	23%
<u>Revenue by Product</u>					
Simparica Trio	124	60	107%	1%	106%
<u>P&L</u>					
Adjusted operating expenses	730	650	12%	—%	12%
	Full year ended December 31,				
	2021*	2020*	Change	Foreign Exchange	Operational ¹
<u>Revenue by Product Category</u>					
Diagnostics	\$374	\$305	23%	2%	21%
Key Dermatology	1,162	925	26%	2%	24%
<u>Revenue by Product</u>					
Simparica	266	237	12%	(1)%	13%
Simparica franchise	741	407	82%	—%	82%

¹ Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

Reconciliation Of Adjusted Net Income To Adjusted EBIT

<i>Dollars in millions</i>	2019	2020	2021
Adjusted net income attributable to Zoetis ¹	\$1,755	\$1,844	\$2,240
Interest expense ²	223	231	224
Interest income ²	(37)	(12)	(6)
Income taxes ²	390	413	511
Adjusted EBIT ³	\$2,331	\$2,476	\$2,969
% of revenue ⁴	37.2%	37.1%	38.2%

¹ Adjusted net income attributable to Zoetis (a non-GAAP financial measure) is defined as reported U.S. GAAP net income attributable to Zoetis excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

² As included in adjusted net income.

³ Adjusted Earnings Before Interest and Taxes (EBIT) (a non-GAAP financial measure) is defined as adjusted net income attributable to Zoetis excluding (i) interest expense and interest income and (ii) income taxes (all as included in adjusted net income).

⁴ Adjusted EBIT margin (a non-GAAP financial measure) is defined as EBIT expressed as a percentage of revenue.

Reconciliation Of GAAP Reported To Non-GAAP Adjusted Information

2021

<i>in USD millions, except per share data</i>	GAAP ¹ Reported	Purchase Accounting	Acquisition- Related Costs	Certain Significant Items	Non-GAAP Adjusted ²
Cost of sales	\$2,303	\$(6)	\$—	\$(8)	\$2,289
Gross profit	5,473	6	—	8	5,487
Selling, general and administrative expenses	2,001	(30)	—	—	1,971
Research and development expenses	508	(1)	—	—	507
Amortization of intangible assets	161	(138)	—	—	23
Total operating expenses	2,670	(169)	—	—	2,501
Restructuring charges and certain acquisition-related costs	43	—	(12)	(31)	—
Other (income)/deductions—net	48	—	—	(34)	14
Income before provision for taxes on income	2,488	175	12	73	2,748
Provision for taxes on income	454	39	2	16	511
Net income before allocation to noncontrolling interests	2,034	136	10	57	2,237
Net income attributable to Zoetis	2,037	136	10	57	2,240
Earnings per common share attributable to Zoetis - diluted	\$4.27	\$0.29	\$0.02	\$0.12	\$4.70

¹ U.S. generally accepted accounting principles

² Non-GAAP adjusted net income is defined as reported U.S. GAAP net income excluding purchase accounting adjustments, acquisition-related costs and certain significant items. The adjusted net income measure and its components are not, and should not be viewed as, substitutes for U.S. GAAP net income and its components. Non-GAAP adjusted net income and its components are presented solely to permit investors to more fully understand how management assesses performance.

Reconciliation Of GAAP Reported To Non-GAAP Adjusted Information

2020

<i>in USD millions, except per share data</i>	GAAP ¹ Reported	Purchase Accounting	Acquisition- Related Costs	Certain Significant Items	Non-GAAP Adjusted ²
Cost of sales	\$2,057	\$(8)	\$—	\$(19)	\$2,030
Gross profit	4,618	8	—	19	4,645
Selling, general and administrative expenses	1,726	(54)	—	(13)	1,659
Research and development expenses	463	(1)	—	—	462
Amortization of intangible assets	160	(135)	—	—	25
Total operating expenses	2,349	(190)	—	(13)	2,146
Restructuring charges and certain acquisition-related costs	25	—	(18)	(7)	—
Other (income)/deductions—net	17	—	—	(4)	13
Income before provision for taxes on income	1,996	198	18	43	2,255
Provision for taxes on income	360	56	(1)	(2)	413
Net income before allocation to noncontrolling interests	1,636	142	19	45	1,842
Net income attributable to Zoetis	1,638	142	19	45	1,844
Earnings per common share attributable to Zoetis - diluted	\$3.42	\$0.30	\$0.04	\$0.09	\$3.85

¹ U.S. generally accepted accounting principles

² Non-GAAP adjusted net income is defined as reported U.S. GAAP net income excluding purchase accounting adjustments, acquisition-related costs and certain significant items. The adjusted net income measure and its components are not, and should not be viewed as, substitutes for U.S. GAAP net income and its components. Non-GAAP adjusted net income and its components are presented solely to permit investors to more fully understand how management assesses performance.

Reconciliation Of GAAP Reported To Non-GAAP Adjusted Information

2019

<i>in USD millions, except per share data</i>	GAAP ¹ Reported	Purchase Accounting	Acquisition- Related Costs	Certain Significant Items	Non-GAAP Adjusted ²
Cost of sales	\$1,992	\$(24)	\$—	\$(77)	1,891
Gross profit	4,268	24	—	77	4,369
Selling, general and administrative expenses	1,638	(72)	—	(2)	1,564
Research and development expenses	457	(2)	—	—	455
Amortization of intangible assets	155	(136)	—	—	19
Total operating expenses	2,250	(210)	—	(2)	2,038
Restructuring charges and certain acquisition-related costs	51	—	(43)	(8)	—
Other (income)/deductions—net	(57)	—	—	20	(37)
Income before provision for taxes on income	1,801	234	43	67	2,145
Provision for taxes on income	301	78	7	4	390
Net income before allocation to noncontrolling interests	1,500	156	36	63	1,755
Net income attributable to Zoetis	1,500	156	36	63	1,755
Earnings per common share attributable to Zoetis - diluted	\$3.11	\$0.32	\$0.08	\$0.13	\$3.64

¹ U.S. generally accepted accounting principles

² Non-GAAP adjusted net income is defined as reported U.S. GAAP net income excluding purchase accounting adjustments, acquisition-related costs and certain significant items. The adjusted net income measure and its components are not, and should not be viewed as, substitutes for U.S. GAAP net income and its components. Non-GAAP adjusted net income and its components are presented solely to permit investors to more fully understand how management assesses performance.

Reconciliation Of Adjusted Net Income Growth To Non-GAAP Financial Measures

<i>in USD millions</i>	Adjusted Net Income ¹	Change From Prior Year	Foreign Exchange	Operational Growth ²
2019	\$1,755	15%	1%	14%
2020	\$1,844	5%	(5)%	10%
2021	\$2,240	21%	2%	19%

¹ Adjusted net income (a non-GAAP financial measure) is defined as reported U.S. generally accepted accounting principles (GAAP) net income, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

² Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

Reconciliation Of Reported Revenue To Non-GAAP Financial Measures

<i>in USD millions</i>	Revenue	Change From Prior Year	Foreign Exchange	Operational Growth ¹	Acquisitions ²	Organic Operational Growth ³
2019	\$6,260	7%	(3)%	10%	2%	8%
2020	\$6,675	7%	(2)%	9%	1%	8%
2021	\$7,776	16%	1%	15%		

¹ Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

² 2019 only include Abaxis

³ Organic operational growth (a non-GAAP financial measure) excludes the impact of acquisitions, as well as foreign exchange

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